

Maruti Suzuki India Limited

NSE: MARUTI | Automobiles — Passenger Vehicles | 19 August 2026

REDUCE Fair value: ₹12,978 | CMP: ₹13,691 (18-Aug-2026) | Downside: -5.2%
(total return -4.2%)

Investment Summary

Maruti Suzuki had an outstanding operating quarter and a poor financial one, and we are initiating coverage with a REDUCE. This is a marginal call — the fair value sits 5.2% below the market — and the honest summary is that the shares are priced for a margin recovery that is likely to happen but is already paid for.

The June 2026 quarter was, on the operating measures that matter to a car company, close to the best in years. Total volumes rose 29.3%. Domestic small cars rose 34.1% and sport-utility vehicles 44.6%. Exports rose 28.6%. Domestic passenger-vehicle market share rose 2.3 percentage points to 41.2%, helped by the commissioning of the second Kharkhoda plant, and the company finished the quarter carrying only about thirteen days of network inventory. Revenue rose 36% to ₹52,470 crore.

Profit fell 9.1% to ₹3,447 crore. Operating margin fell 376 basis points from 11.98% to 8.22%, the lowest since the semiconductor and commodity crisis of FY2022. The company's own explanation is unambiguous: material costs "had started to increase in the quarter and were seriously aggravated during the war." This is a cost shock, not a demand problem and not a franchise problem. Maruti sold more cars, to more customers, at better share, and earned less money doing it.

Two things sit underneath the reported number. The first is that the investment book, not the car business, carried the quarter: other income of ₹1,972 crore funded 44% of pre-tax profit. The second is that this book flatters the headline multiple rather than the reverse. Maruti holds ₹76,838 crore of investments and surplus cash, 17.9% of market capitalisation. That book earned a pre-tax yield of 6.13% over the last twelve months — below the 6.82% ten-year government bond — so it is worth approximately its carrying value and no more. Strip it out and the core automotive business trades on 32.9 times earnings against a headline 29.9 times. This is the reverse of the usual cash-adjustment story: taking the cash out makes the shares look dearer, not cheaper.

We value the company three ways. A five-year discounted cash flow, with operating margin recovering from the 8.2% trough to 13% by FY2031 and discounted at an 11.92% cost of equity, gives ₹11,666. Twenty-four times normalised FY2028 earnings of ₹605 gives ₹14,531. Twelve times FY2028 EBITDA gives ₹12,904. Weighting these 40/35/25 gives ₹12,978, about 5.2% below the market, or -4.2% after the 1.02% dividend yield. Against a 6.82% G-sec that is a REDUCE, though not by a wide margin.

The cleanest way to state the disagreement is through the margin. At our 11.92% cost of equity, the current price of ₹13,691 solves to a terminal operating margin of 13.6%. Maruti managed 13% in FY2024 and FY2025, reached 15% twice in the last decade in FY2017 and FY2018, and averages 11.5% over ten years. So the market is paying for a margin about 60 basis points better than the company's recent peak, at a moment when the margin is 8.2%. That is a demanding assumption but not an absurd one, and it is why this call is narrow rather than emphatic.

We should be clear about the weakness in our own case. The three methods disagree by 26%, which is wide, and the disagreement is entirely about how quickly the margin normalises. The bull case is not speculative: Maruti's margin fell to 7% in FY2022 and was back to 13% within two years. If it repeats that, with a 14% terminal margin and a lower cost of equity, the same three methods give ₹16,579 and the rating is a BUY. We are also the bearish outlier — 33 analysts rate the stock a buy against two sells, and consensus targets run from ₹15,877 to ₹17,562 depending on the source. Our ₹12,978 sits just above the lowest published target on the Street.

Q1 FY2027 Results Review — Reported 31 July 2026

Consolidated revenue of ₹52,470 crore rose 36% year on year; standalone net sales of ₹49,959 crore rose 36% on the same basis. Operating profit fell 6.7% to ₹4,313 crore. Depreciation rose to ₹1,780 crore as the second Kharkhoda plant entered the asset base. Other income of ₹1,972 crore, up sharply on a weak March quarter, lifted pre-tax profit to ₹4,441 crore. At a 22% tax rate, consolidated net profit was ₹3,447 crore against ₹3,792 crore. Standalone net profit was ₹3,352 crore against ₹3,758 crore.

The volume detail is genuinely strong. Small cars, the segment that had been structurally shrinking for several years, grew 34.1%. Utility vehicles grew 44.6%, extending Maruti's recovery in the one segment where it had ceded ground to Mahindra, Tata and Hyundai. Exports grew 28.6%, consistent with Maruti's role as Suzuki's global small-car manufacturing hub and helped by a rupee at 95.85 to the dollar. Market share of 41.2% is the highest the company has reported in several years.

The volume surge has a specific cause and a specific expiry. On 22 September 2025 the GST rate on small cars — petrol under 1200cc and diesel under 1500cc, in each case under four metres — fell from 28% to 18%, while rates on large and luxury cars rose to 40%. The benefiting segments are close to 60% of the domestic passenger-vehicle market and are where Maruti is strongest. The company delivered around 30,000 vehicles on the day the cut took effect, its best single day in 35 years. The June 2026 quarter therefore compares against a pre-cut base. The September 2026 quarter laps the change partially and the December 2026 quarter laps it fully. Our FY2027 revenue forecast of ₹2,16,000 crore assumes 13% growth across the remaining nine months against 35.9% in the first — a deceleration that is the arithmetic of the base effect rather than a call on demand.

Note that Suzuki Motor Gujarat amalgamated into Maruti Suzuki with effect from 1 December 2025, with an appointed date of 1 April 2025. Prior periods have been restated, so the growth rates above are like-for-like and are not flattered by the merger.

Snapshot

Market capitalisation	₹4,29,201 cr	Shares outstanding	31.4 cr
Current price (18-Aug-2026)	₹13,691	52-week high / low	₹17,372 / ₹12,201
Discount to 52-week high	-21.2%	Fair value (blended)	₹12,978
Downside to fair value	-5.2%	Total expected return	-4.2%
Dividend per share / yield	₹140 / 1.02%	Book value per share	₹3,408
Trailing P/E	29.9x	Price / book	4.02x
Core automotive P/E (ex-investments)	32.9x	EV / FY2026 EBITDA	16.4x
Q1 FY2027 operating margin	8.22%	Q1 FY2026 operating margin	11.98%
Ten-year average operating margin	11.5%	Margin the price implies	~13.6%
FY2027E EPS	₹454	FY2028E normalised EPS	₹605
Return on equity (FY2026)	14.3%	Return on capital employed	18.9%
India 10-year G-sec	6.82%	Cost of equity	11.92%

Valuation

An automotive manufacturer at a cyclical margin low is the hardest kind of company to value on an earnings multiple, because the denominator is temporarily wrong. We therefore anchor on cash flow and use the earnings multiple on normalised rather than current profit, weighting the discounted cash flow at 40%, the normalised multiple at 35% and enterprise value to EBITDA at 25%.

The discounted cash flow assumes revenue of ₹2,16,000 crore in FY2027, rising to ₹3,01,000 crore by FY2031, and operating margin recovering from 9.8% to 13% over the same period — the level actually achieved in FY2024 and FY2025, not a heroic assumption. Capital expenditure stays near ₹10,000 to ₹11,000 crore a year, which is where it has been

through the Kharkhoda build-out, and the negative working-capital cycle continues to release a small amount of cash each year. Discounting at an 11.92% cost of equity — the 6.82% G-sec, a 6.0% equity risk premium and a beta of 0.85 — with 6.0% terminal growth gives an enterprise value of ₹2,89,562 crore. Adding the ₹76,838 crore investment book and deducting ₹102 crore of borrowings gives ₹11,666 per share. Terminal value is 81% of enterprise value, which is high, and readers should treat the figure with the caution that implies.

The normalised earnings method uses FY2028, on the view that FY2027 is a trough. At an 11.5% operating margin, FY2028 delivers EBIT of ₹19,170 crore and, after other income of ₹5,800 crore and tax, earnings of ₹605 a share. That other-income figure implies a 6.4% yield on the average investment book, exactly the yield the book delivered in FY2026. Twenty-four times gives ₹14,531. That multiple is below the 29.9 times the market pays today, below the 29.3 times peer average and below the 32.4 times Nifty Auto multiple — a deliberate discount, because FY2028 is a recovery year and recovery earnings deserve a lower multiple than steady-state earnings.

Enterprise value to EBITDA applies twelve times to FY2028 EBITDA of ₹27,370 crore, adds the investment book and gives ₹12,904. For reference, the market is currently paying 16.4 times FY2026 EBITDA, which is a full multiple for any volume car manufacturer anywhere.

Ratings on this desk are anchored to the local risk-free rate rather than a fixed band. With the Indian ten-year at 6.82%, a BUY requires a total return above the 11.92% cost of equity, an ACCUMULATE above 8.82%, and a HOLD anywhere between zero and that hurdle. At -4.2% this is a REDUCE, but a narrow one, and we would rather say that than dress a 4% gap as conviction. A terminal margin of 13.6% rather than 13% moves the fair value to the market price. Sixty basis points of terminal margin decide this rating, and we would rather state that than imply conviction we do not have. The single input that decides this rating is the margin Maruti earns in FY2029 and beyond, and nothing else comes close.

Cross-Check Against Third-Party Views

Maruti produces the widest valuation dispersion we have encountered on any name in this coverage, and the pattern in that dispersion is itself the most useful thing we found.

Independent cash-flow models are uniformly more bearish than we are. valueinvesting.io puts intrinsic value at ₹6,463 and calls the shares 52.9% overvalued. Alpha Spread's discounted cash flow gives ₹8,386, some 36% below the market, and its blended base case ₹10,742. Sell-side houses are uniformly more bullish. HSBC has a buy at ₹16,000, JP Morgan overweight at ₹16,200, Morgan Stanley overweight at ₹16,381, Citi buy at ₹16,500 and Bernstein outperform at ₹16,800. GuruFocus, working from historical multiples rather than cash flow, calls the stock 11.8% undervalued at ₹15,536. The highest published estimate is 2.7 times the lowest.

Our ₹12,978 sits between the two camps. The nearest published number to ours is Nomura's ₹14,070 — and Nomura is the only one of the six houses above rated Neutral rather than Buy, and the only one that raised its target after the June quarter rather than cutting it. Every other house cut: Morgan Stanley from ₹17,895, Citi from ₹18,500, Bernstein from ₹18,200, JP Morgan from ₹16,415. A Street that is uniformly positive on direction while uniformly reducing its numbers is a Street that has been surprised, and we would rather be early to that than late.

The split is not really about Maruti. It is about whether you capitalise trough cash flow or normalised earnings, and it reproduces exactly inside our own work, where the discounted cash flow gives ₹11,666 and the normalised earnings multiple ₹14,531. Anyone quoting a single precise fair value for this company at this point in the cycle is overstating what the method can deliver.

One piece of third-party analysis argues against our rating, and it deserves to be stated rather than buried. The 380 basis point margin decline decomposes as roughly 300 basis points of commodity cost, 40 of employee cost, 30 of fixed-cost absorption on inventory depletion and 20 of gas cost, with a weaker rupee giving back about 10. Four-fifths of the damage is therefore commodity — cyclical, and historically self-correcting. Only some 90 basis points look structural. Our own calculation from the reported figures gives a 376 basis point decline, which reconciles. If commodity pressure unwinds the way it did after FY2022, margin recovery will be faster than our base case and this rating will be wrong.

One further test is worth running before accepting our conclusion, because it is the best case against it. Maruti's headline return on equity of 14.3% looks pedestrian for a franchise with 41% market share. It is not what the car business earns. Net worth of ₹1,07,156 crore includes ₹76,838 crore of investments — 72% of book. Strip those out and operating net

worth is ₹30,318 crore, a figure that reconciles independently from the asset side as fixed assets plus capital work in progress plus other assets less other liabilities, at ₹30,419 crore. Against core automotive profit of ₹10,710 crore, the business Maruti actually operates earns roughly 35% on the equity it employs. On that measure this is one of the highest-return manufacturers in the country, and such a business plainly deserves a premium multiple.

Our answer is that the two facts are one fact. Maruti holds ₹76,838 crore at a 6.1% yield precisely because it cannot deploy that money at 35%. FY2026 capital expenditure of roughly ₹10,346 crore absorbed 97% of core profit and the cash pile still grew. The marginal rupee a shareholder leaves in this company earns the blended return, not the core return, which is exactly why headline ROE is 14.3% rather than 35%. A superb business that cannot reinvest its own cash flow is worth less than one that can, and the valuation should reflect the return on the capital actually retained. The honest caveat is that Kharkhoda changes this at the margin: Maruti is deploying capital at scale for the first time in years, and if those plants earn anything close to core returns, headline ROE rises and our multiple is too low.

Key Risks to Our View

The margin recovers faster than we assume. This is the central risk and it has strong precedent. Operating margin fell to 7% in FY2022 and was back to 13% by FY2024. If the war-driven commodity spike unwinds quickly, FY2028 margin could reach 12.5% to 13% rather than our 11.5%, and the stock is cheap rather than dear.

Operating leverage from Kharkhoda. The second plant has just been commissioned and is running into a 29% volume increase. Fixed-cost absorption improves quickly in a business like this, and our FY2027 margin of 9.8% may prove too cautious if volumes hold.

Market share momentum is real. A 2.3 point share gain to 41.2%, with small cars growing 34% and utility vehicles 44.6%, is the strongest competitive quarter Maruti has had in years. We are valuing a franchise that is currently winning.

Export growth and the rupee. Exports grew 28.6% and the rupee is at 95.85 to the dollar. Maruti is Suzuki's global small-car hub, and a sustained export mix shift would lift both volume and margin above our forecast.

Terminal value dominates the cash flow. Eighty-one per cent of our enterprise value sits in the terminal period. Small changes in the terminal margin or growth rate move the answer materially, as the sensitivity grid shows. This is a weakness of the method, not a strength of our conclusion.

Suzuki's rising stake. Suzuki Motor Corporation has crept from 56.5% to 58.65% since 2023 while foreign institutional holding has fallen from 21.9% to 12.8%. We ascribe no value to corporate-action optionality, but a determined parent buying stock is not a bearish signal.

A cost shock can persist. Equally, our base case assumes the war-related material cost pressure eases. If Brent holds above \$90 and input costs stay elevated into FY2028, our bear case of ₹9,620 is the relevant number, not our base case.

Company Overview

Maruti Suzuki India Limited is India's largest passenger-vehicle manufacturer, with 41.2% of the domestic market as at the June 2026 quarter. The company was established in 1981 as a joint venture between the Government of India and Suzuki Motor Corporation and became a Suzuki subsidiary in 2002; Suzuki now holds 58.65%. It is Suzuki's largest subsidiary by production and sales worldwide. Domestic sales in the nine months to December 2025 were 41.6% compact cars, 37.7% utility vehicles, 7.3% vans, 5.3% mini, 2.0% light commercial vehicles and 6.0% sales to other manufacturers. The company is effectively debt free, with ₹102 crore of borrowings against ₹76,838 crore of investments, and has maintained a dividend payout near 30%. Suzuki Motor Gujarat, previously a wholly owned subsidiary, was amalgamated into the company with effect from 1 December 2025.

Disclaimer

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Maruti Suzuki India Limited (NSE: MARUTI)

Equity Research Model / Automobiles — Passenger Vehicles / Figures as at 18 August 2026

MARKET DATA

Current market price (₹, 18-Aug-2026 close)	13,691
Price on 19-Aug-2026 (₹) — unchanged	13,690
52-week high / low (₹)	17,372 / 12,201
Discount to 52-week high	-21.2%
Market capitalisation (₹ crore)	429,201
Shares outstanding (crore) — equity capital / face value	31.4
Cross-check: market cap / price (crore shares)	31.3
Face value (₹)	5
Book value per share (₹)	3,408
Price / book (x)	4.02
Trailing twelve-month EPS (₹)	455.91
Trailing P/E (x)	30.0
Dividend per share, FY2026 proposed (₹)	140
Dividend yield	1.02%
Return on equity (FY2026)	14.3%
Return on capital employed (FY2026)	18.9%
Total borrowings (₹ crore, Mar-2026)	102
Investments (₹ crore, Mar-2026)	76,838
Promoter — Suzuki Motor Corporation	58.65%
Foreign institutional holding	12.82%
Domestic institutional holding	25.09%

Q1 FY2027 RESULTS (quarter ended June 2026, reported 31 July 2026)

Consolidated revenue (₹ crore)	52,470
Consolidated revenue growth, year on year	35.9%
Standalone net sales (₹ crore) — company press release	49,959
Operating profit (₹ crore)	4,313
Operating margin	8.22%
Operating margin, Q1 FY2026	11.98%
Margin change, year on year (basis points)	-376
Other income (₹ crore)	1,972
Depreciation (₹ crore)	1,780
Profit before tax (₹ crore)	4,441
Other income as share of profit before tax	44.4%
Consolidated net profit (₹ crore)	3,447
Net profit growth, year on year	-9.1%
Standalone net profit (₹ crore)	3,352
Earnings per share (₹)	109.63
Total sales volume growth	29.3%
Domestic small car volume growth	34.1%
Sport-utility vehicle volume growth	44.6%
Export volume growth	28.6%
Domestic passenger vehicle market share	41.2%
Market share change, year on year (percentage points)	2.3
Network inventory (days)	13

THE QUARTER IN ONE LINE

Volumes rose 29.3%. Revenue rose 36%. Market share rose 2.3 points to 41.2%, the highest in years. Profit fell 9.1%. Operating margin fell from 11.98% to 8.22% — the lowest since the FY2022 semiconductor and commodity crisis. The company's own explanation: material costs "had started to increase in the quarter and were seriously aggravated during the war." This is a cost shock, not a demand or franchise problem. Whether it is a trough or a new normal is the entire valuation question, and this model does not assume the answer — it prices the range.

Note: Suzuki Motor Gujarat amalgamated into Maruti Suzuki from 1 December 2025, appointed date 1 April 2025. Prior periods are restated, so the growth rates above are like-for-like.

Valuation Summary — Maruti Suzuki India

Discounted cash flow, normalised earnings multiple and EV/EBITDA. Rating anchored to the Indian 10-year G-sec

KEY INPUTS	
Current market price (₹, 18-Aug-2024)	13,691
Shares outstanding (crsrs)	31.4
India 10-year G-sec yield (18-Aug-2026)	6.82%
Equity risk premium	6.0%
Beta	0.85
Cost of equity = r_f + beta x ERP	11.92%
Cost of capital (borrowings ₹102 cr — effectively all equity)	11.92%
Terminal growth rate	6.0%
Effective tax rate	23%
Investments and surplus cash (₹ crsrs, Mar-2026)	76,838
Total borrowings (₹ crsrs)	102
Dividend per share (₹)	140
Dividend yield	1.02%

METHOD 1 — DISCOUNTED FREE CASH FLOW TO THE FIRM					
Margin reverts from the Q1 FY2027 trough of 8.2% toward 13%, the level achieved in FY2024 and FY2025					
	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Revenue (₹ crsrs)	216,000	238,000	259,000	280,000	301,000
Revenue growth	17.8%	10.2%	8.8%	8.1%	7.5%
Operating margin assumption	9.8%	11.5%	12.5%	12.8%	13.0%
EBITDA (₹ crsrs)	21,168	27,370	32,375	35,840	39,130
Depreciation and amortisation	7,600	8,200	8,700	9,200	9,700
EBIT	13,568	19,170	23,675	26,640	29,430
Net operating profit after tax	10,447	14,761	18,230	20,513	22,661
Add: back depreciation	7,600	8,200	8,700	9,200	9,700
Less: capital expenditure	-11,000	-10,500	-10,000	-10,000	-9,500
Less: change in working capital (negative cycle releases cash)	800	700	600	500	450
Free cash flow to the firm	7,847	13,161	17,530	20,213	22,911
Discount factor	0.893	0.798	0.713	0.637	0.569
Present value of FCFF	7,012	10,507	12,504	12,882	13,047
Sum of present values, FY2027E-FY2031E	55,952				
Terminal free cash flow (FY2032E)	24,286				
Terminal value = FCF / (WACC - g)	410,233				
Present value of terminal value	233,610				
Terminal value as share of enterprise value	81%				
Enterprise value (₹ crsrs)	289,562				
Add: investments and surplus cash	76,838				
Less: borrowings	-102				
Equity value (₹ crsrs)	366,298				
DCF FAIR VALUE PER SHARE (₹)	11,666				
Note: EBIT excludes other income, so the treatment book is added separately at book value					

METHOD 2 — NORMALISED EARNINGS MULTIPLE	
FY2027 is a margin-tough year. Volung of trough earnings understates the business, so we use FY2028E.	
FY2028E EBIT (₹ crsrs)	19,170
Add: other income (₹ crsrs)	5,800
Less: interest (₹ crsrs)	780
Profit before tax (₹ crsrs)	24,690
Net profit (₹ crsrs)	19,011
FY2028E normalised EPS (₹)	605
Target price / earnings multiple (x)	24.0
NORMALISED P/E FAIR VALUE (₹)	14,531
Minus: trailing P/E the market is paying today (x)	30.0
Minus: peer-set average trailing P/E (x)	29.3
Minus: Nifty Auto index P/E (x)	32.4

METHOD 3 — ENTERPRISE VALUE / EBITDA	
FY2028E EBITDA (₹ crsrs)	27,370
Target EV / EBITDA multiple (x)	12.0
Implied enterprise value (₹ crsrs)	328,440
Add: investments and surplus cash	76,838
Less: borrowings	-102
Equity value (₹ crsrs)	405,176
EV/EBITDA FAIR VALUE (₹)	12,904
Minus: EV/EBITDA the market is paying on FY2026E EBITDA (x)	16.4

BLENDED FAIR VALUE AND RATING		
Method	Fair value (₹)	Weight
Discounted cash flow	11,666	40%
Normalised earnings multiple	14,531	35%
Enterprise value / EBITDA	12,904	25%
Weights sum		100%
BLENDED FAIR VALUE (₹)	12,978	
Upside / (downside) to fair value	-5.2%	
Add: dividend yield	1.02%	
TOTAL EXPECTED RETURN	-4.2%	
Cost of equity (BICY hurdle)	11.92%	
G-sec + 2pp (ACCUMULATE hurdle)	8.82%	
RATING	REDUCE	

Bonds are anchored to the Indian 10-year G-sec at 6.82%, not to a fixed percentage. RBY above the 11.92% cost of equity. ACCUMULATE above 8.82%, BICY between zero and that hurdle, REDUCE below zero.

SENSITIVITY — BLENDED FAIR VALUE (₹) vs TERMINAL OPERATING MARGIN AND COST OF EQUITY					
Terminal operating margin \ Cost of equity	11.00%	11.50%	11.92%	12.50%	13.00%
11.0%	11,369	11,035	10,798	10,522	10,321
12.0%	12,331	12,105	11,888	11,577	11,350
13.0%	13,693	13,275	12,978	12,631	12,379
14.0%	14,856	14,395	14,068	13,686	13,408
15.0%	16,018	15,514	15,157	14,741	14,437

Shaded cell is the base case. The current price of ₹13,691 solves to a terminal margin of 13.02% at a 11.92% cost of equity.

SCENARIOS — BEAR / BASE / BULL				
	Bear	Base	Bull	
Terminal operating margin	11.0%	13.0%	14.0%	
FY2028E operating margin	10.0%	11.5%	12.5%	
Cost of equity	13.00%	11.92%	10.95%	
Terminal growth	5.5%	6.0%	6.5%	
Target P/E (x)	21.0	24.0	27.0	
Target EV/EBITDA (x)	10.0	12.0	14.0	
Discounted cash flow value (₹)	8,270	11,666	15,847	
Normalised P/E value (₹)	10,876	14,531	17,923	
EV/EBITDA value (₹)	10,023	12,904	15,708	
BLENDED FAIR VALUE (₹)	9,630	12,978	16,679	
Upside / (downside)	-29.7%	-5.2%	21.1%	
Total expected return	-28.7%	4.2%	22.1%	
RATING	REDUCE	REDUCE	BUY	

WHAT THE MARKET IS PRICING AT ₹13,691	
Trailing P/E (x)	30.0
EV / FY2026E EBITDA (x)	16.4
Price / book (x)	4.02
Terminal operating margin the price implies (approx.)	13.6%
Operating margin achieved in FY2024 and FY2025	13.0%
Operating margin in Q1 FY2027	8.2%
Ten-year average operating margin (FY2017-FY2026)	11.5%
Return on equity, FY2026	14.3%
Trailing profit growth	-1.0%

The market is paying 30 times earnings and 16.4 times EBITDA for a business whose trailing profit has fallen 1% and whose margin is at a four-year low. The bull case is that the margin is optimal. Is probability 1% The question is whether you are being paid to wait for it, and at 30 times the answer is yes.

Income Statement — Maruti Suzuki India

Consolidated, ₹ crore. Source: company filings via Screener. FY2027E–FY2028E are this model's estimates.

	FY2022	FY2023	FY2024	FY2025	FY2026	TTM Jun-26	FY2027E	FY2028E
Revenue	88,330	117,571	141,858	152,913	183,316	197,181	216,000	238,000
Operating expenses	82,578	106,542	123,232	132,689	161,786	176,050	194,832	210,630
Operating profit (EBITDA)	5,752	11,029	18,626	20,224	21,530	21,131	21,168	27,370
Other income	1,861	2,307	4,248	5,199	4,569	4,707	5,200	5,800
Interest	127	187	194	194	239	255	270	280
Depreciation	2,789	2,826	5,256	5,608	6,742	6,966	7,600	8,200
Profit before tax	4,697	10,323	17,424	19,620	19,118	18,616	18,498	24,690
Net profit	3,880	8,211	13,488	14,500	14,680	14,334	14,243	19,011
Earnings per share (₹)	128.43	271.82	429.01	461.20	466.90	455.91	453.61	605.46
Operating margin	6.5%	9.4%	13.1%	13.2%	11.7%	10.7%	9.8%	11.5%
Other income as share of profit before tax	39.6%	22.3%	24.4%	26.5%	23.9%	25.3%	28.1%	23.5%
Revenue growth		33.1%	20.7%	7.8%	19.9%	7.6%	9.5%	10.2%

QUARTERLY — THE MARGIN BREAK

	Jun 2025	Sep 2025	Dec 2025	Mar 2026	Jun 2026
Revenue	38,605	42,344	49,904	52,462	52,470
Operating profit	4,623	5,086	5,573	6,158	4,313
Other income	1,924	1,014	1,140	581	1,972
Depreciation	1,556	1,703	1,735	1,748	1,780
Profit before tax	4,944	4,339	4,917	4,918	4,441
Net profit	3,792	3,349	3,879	3,659	3,447
Earnings per share (₹)	120.62	106.52	123.38	116.38	109.63
Operating margin	11.98%	12.01%	11.17%	11.74%	8.22%
Other income as share of profit before tax	38.9%	23.4%	23.2%	11.8%	44.4%

Revenue rose 36% year on year in the June 2026 quarter and operating profit fell 6.7%. The gap is the whole story:

material cost inflation, aggravated by the war, absorbed the entire benefit of a 29% volume increase.

Note also the other-income line. At ₹1,972 crore it funded 44% of pre-tax profit — the investment book, not the car business, carried the quarter.

Balance Sheet and the Investment Book — Maruti Suzuki India

Consolidated, ₹ crore. Position as at 31 March 2026.

	FY2023	FY2024	FY2025	FY2026
Equity capital	151	157	157	157
Reserves	61,640	85,479	96,083	106,999
Net worth	61,791	85,636	96,240	107,156
Borrowings	1,247	119	87	102
Other liabilities	21,558	29,550	34,689	41,622
Total liabilities	84,597	115,304	131,016	148,880
Fixed assets	17,830	27,865	32,983	34,523
Capital work in progress	2,904	7,735	7,929	9,838
Investments	49,184	57,296	66,265	76,838
Other assets	14,678	22,408	23,839	27,680

THE INVESTMENT BOOK — WHAT IT EARNS AND WHAT IT IS WORTH

Investments and surplus cash (₹ crore)	76,838
As share of market capitalisation	17.9%
Other income, trailing twelve months (₹ crore)	4,707
Pre-tax yield on the investment book	6.1%
Post-tax yield on the investment book	4.7%
India 10-year G-sec yield	6.82%
Market capitalisation (₹ crore)	429,201
Market capitalisation excluding the investment book	352,363
Net profit, trailing twelve months	14,334
Less: post-tax other income	-3,624
Core automotive net profit	10,710
Implied P/E on the core automotive business (x)	32.9
Headline trailing P/E (x)	29.9

This is the reverse of the usual cash-adjustment story. Stripping out the investment book does not make the shares look cheaper — it makes them look dearer, because the book earns a pre-tax yield close to the government bond and is therefore worth roughly its carrying value, while the core car business is left carrying an even higher multiple.

CASH FLOW

	FY2023	FY2024	FY2025	FY2026
Cash from operating activity	9,251	16,801	16,180	19,100
Cash used in investing activity	-8,036	-11,865	-14,500	-14,734
Cash used in financing activity	-1,213	-4,062	-4,155	-4,484
Free cash flow	3,004	7,646	5,601	8,754

Operating cash flow is strong and rising. Free cash flow is materially lower because the company is in a heavy capacity cycle — the second Kharkhoda plant was commissioned in the June quarter, and capital work in progress stands at ₹9,838 crore. Our forecast keeps capital expenditure near ₹10,000–11,000 crore a year through FY2031.

CORE RETURN ON CAPITAL — THE STRONGEST ARGUMENT AGAINST OUR RATING

Net worth (₹ crore)	107,156
Less: investments and surplus cash	-76,838
Operating net worth	30,318
Cross-check: fixed assets + CWIP + other assets – other liabilities	30,419
Net profit, trailing twelve months	14,334
Less: post-tax other income	-3,624
Core automotive profit	10,710
CORE RETURN ON OPERATING EQUITY	35.3%
Headline return on equity	14.3%
Investments as share of net worth	71.7%
Yield earned on the investment book	6.1%

The car business earns roughly 35% on the equity it actually employs. The headline 14.3% is depressed because 72% of book value sits in bonds and funds yielding 6.1%. A franchise earning 35% on capital deserves a premium multiple, and this is the best case against our REDUCE.

The answer, we think, is that the two facts are the same fact. Maruti parks ₹76,838 crore at 6.1% precisely because it cannot deploy that money at 35%. FY2026 capital expenditure of about ₹10,346 crore absorbed 97% of core profit and the cash pile still grew. The marginal rupee earns the blended return, not the core return — which is why headline ROE is 14.3% and not 35%. A great business that cannot reinvest its own cash flow is worth less than one that can.

The counter to our counter: the Kharkhoda build-out means Maruti is now deploying capital at scale for the first time in years. If those plants earn core-like returns, headline ROE rises and our multiple is too low.

Operating Detail and Peer Comparison — Maruti Suzuki India

Q1 FY2027 volume data from the company press release, 31 July 2026.

Q1 FY2027 VOLUME AND SHARE

Total sales volume growth	29.3%
Domestic small car volume growth	34.1%
Sport-utility vehicle volume growth	44.4%
Export volume growth	28.6%
Domestic passenger vehicle market share	41.2%
Market share gain, year on year (percentage points)	2.2
Network inventory (days)	13

Segment mix, domestic sales, 9M FY2026: compact 41.6%, utility vehicles 37.7%, vans 7.2%, mini 5.3%, mid size 0.1%, light commercial 2.0%, sales to other manufacturers 6.0%.

TEN YEARS OF OPERATING MARGIN — THE CYCLE

	FY2017	FY2018	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	
Operating margin	15%	15%	13%	10%	8%	6.5%	9.4%	13.1%	13.2%	11.7% avg	11.5%

Maruti has been here before. Margin fell to 7% in FY2022 on commodity and semiconductor stress and recovered to 12% within two years. That precedent is the strongest argument for the bull case, and we give it real weight.

PEER COMPARISON — TRAILING P/E (AUGUST 2026)

Company	Ticker	Trailing P/E (x)
Maruti Suzuki	MARUTI	30.0
Mahindra & Mahindra	MM	21.9
Bajaj Auto	BAJAJ-AUTO	26.7
Eicher Motors	EICHEMOT	28.5
Tata Motors	TATAMOTORS	40.2

Peer average, excluding Maruti 29.3
Nifty Auto index P/E 32.4
Indian auto industry average trailing P/E 29.0
Peers are two wheeler and diversified manufacturers; only Mahindra and Tata Motors are passenger vehicle comparables, and both carry businesses Maruti does not. Treat the average as context, not as a target.

STREET POSITIONING

Analysts rating the stock a buy	33
Analysts rating the stock a sell	2
Consensus target, source A (₹)	15,877
Consensus target, source B (₹)	17,562
Lowest published target (₹)	12,850
Highest published target (₹)	21,000
Current price (₹)	13,691
This model's fair value (₹)	12,978

Consensus targets differ materially by source — ₹15,877 against ₹17,562 — which is itself a signal that the Street cannot agree on normalised earnings. Our ₹12,978 sits just above the lowest published target of ₹12,850 and well below both consensus figures. On this name we are the bearish outlier, and the note says so plainly.

Q1 FY2027 MARGIN BRIDGE — WHERE THE 380 BASIS POINTS WENT

Decomposition per sell-side analysis of the quarter. Our own calculation from reported figures gives 376bp.

Commodity cost headwinds	-300
Higher employee costs	-40
Fixed costs on inventory depletion	-30
Higher gas costs	-20
Foreign exchange (net benefit)	10
Total margin contraction (basis points)	-380
Of which commodity-related (cyclical)	-300
Commodity share of the total decline	79%

This bridge cuts against our rating and we say so. Commodity cost is 300 of the 380 basis point decline — four-fifths of it — and commodity is cyclical. Only about 90 basis points, employee and gas costs, look structural, and a weaker rupee gave back 10. If commodity pressure unwinds as it did after FY2022, margin recovery could beat our base case.

THIRD-PARTY CROSS-CHECK — THE WIDEST DISPERSION WE HAVE SEEN ON ANY NAME

Source	Value / target (₹) Stance	Method
valueinvesting.io	6,463 Overvalued 52.9%	Intrinsic / DCF
Alpha Spread — DCF	8,286 Overvalued 36%	DCF
Alpha Spread — base case	10,742 Overvalued 19%	Blended
THIS MODEL	12,978 REDUCE, -4.2% to DCF + normalised P/E + EV/EBITDA	
Nomura	14,070 Neutral (target raise Sell-side	
GuruFocus GF Value	15,536 Undervalued 11.8%	Multiple-based
HSBC	16,000 Buy	Sell-side
JP Morgan	16,200 Overweight (target Sell-side	
Morgan Stanley	16,381 Overweight (target Sell-side	
Citi	16,500 Buy (target cut)	Sell-side
Bernstein	16,800 Outperform (target Sell-side	
smart-investing.in	17,496 Discount 19%	Historical multiples
Current market price (₹)	13,691	
Range of third-party estimates (₹)	6,463 – 17,496	
Highest divided by lowest	2.7	

Every independent cash-flow model we can find is more bearish than we are. Every sell-side house is more bullish. That is the same split we found inside our own work, where the discounted cash flow gives ₹11,666 and the earnings multiple ₹14,531. The disagreement is not about the company; it is about whether you capitalise trough cash flow or normalised earnings. Our blend sits between the two camps, nearest to Nomura — the one house rated Neutral, and the only one of six that raised its target after the quarter rather than cutting it.

THE GST CUT — WHY GROWTH DECELERATES FROM THE SEPTEMBER 2026 QUARTER

GST on small cars before 22 September 2025	28%
GST on small cars from 22 September 2025	18%
GST on large cars and luxury (raised)	40%
Share of domestic PV market in the benefiting segments	60%
Maruti delivers on 22 September 2025 (best day in 35 yrs)	30,000
Q1 FY2027 domestic small car volume growth	34.1%
Q1 FY2027 revenue growth	35.9%
Growth this model assumes for the remaining nine months	13.0%

The rate cut took effect on 22 September 2025. The June 2026 quarter therefore compares against a pre-cut base and faster growth. The September 2026 quarter lags its partially and the December 2026 quarter lags it fully. Our FY2027 revenue forecast of ₹216,000 crore assumes 12% growth across the remaining nine months against 25.9% in Q1 — the deceleration is deliberate and is the arithmetic of the base effect, not a demand call.